

Spotify India

Business requirement document

Prepared for: product ,design , engineering and strategy teams

1.Executive summary:

Spotify entered the Indian music streaming market in February 2019 and has since grown to approximately 7–9 million monthly active users (MAUs), ranking third behind JioSaavn (~180 million MAUs) and Gaana (~150 million MAUs). Despite strong global brand equity, Spotify faces a critical engagement gap in India: users spend significantly less time on the platform per session and per month compared to global averages, and free-to-premium conversion rates remain below target.

This Business Requirements Document (BRD) defines the problem space surrounding user engagement and listening time on Spotify India. It establishes the business context, articulates the challenges faced by target user segments, frames the functional and non-functional requirements that any solution must satisfy, and defines measurable success criteria.

2.project description:

2.1 background and context

India represents one of the world's most complex and competitive music streaming markets, characterised by extreme price sensitivity, deep regional language diversity (22+ official languages, 100+ dialects), and a bifurcated digital infrastructure landscape. The country has over 500 million internet users, with smartphone penetration accelerating in Tier-2 and Tier-3 cities and rural areas. However, data affordability concerns, inconsistent connectivity, and the availability of free alternatives create structural challenges for subscription-based streaming models.

Spotify India currently offers both a free (ad-supported) and a Premium tier. The free tier competes directly with JioSaavn, Gaana, YouTube Music, Amazon Prime Music, and Wynk—most of which offer free, ad-light or ad-free listening to users already subscribed to telecom bundles. This bundle model (JioSaavn + Jio telecom, for instance) fundamentally alters the willingness to pay for standalone streaming services.

Spotify's global strengths—personalised discovery, podcast content, and curated playlists—have not yet translated into differentiated engagement in the Indian market. Localisation of content recommendations, language-specific curation, and culturally resonant features remain areas of underperformance relative to local incumbents.

2.2 problem statement

Spotify India is experiencing below-target user engagement, manifested primarily as:

- Shorter average session lengths compared to global benchmarks
- Lower daily active user (DAU) to monthly active user (MAU) ratios
- High dropout rates during onboarding and within the first 30 days
- Low playlist creation, library saves, and social sharing activity
- Suboptimal discovery of regional language and genre content
- Premium conversion rates significantly below global averages

3. Project scope

3.1 In scope

- User engagement analysis across free and premium tiers in the Indian market
- Listening time and session depth behaviours for defined user personas
- Onboarding experience and first-30-day user journey
- Music discovery and content recommendation relevance
- Playlist and library interaction patterns
- Regional language content engagement
- Competitive benchmarking of engagement features vs. JioSaavn, Gaana, YouTube Music
- Podcast engagement as a secondary content lever

3.2 out scope

- International markets (focus is exclusively on India)
- Pricing strategy or monetisation model redesign

4. Business drivers

The following forces are driving the urgency to address the engagement gap:

Market opportunity

India's music streaming market is projected to reach USD 389 million by 2028, growing at ~22% CAGR. With 500+ million internet users and rising smartphone penetration in

Tier-2/3 cities, there is a substantial addressable market that Spotify has not yet fully captured. Increasing engagement is the primary lever to convert casual listeners into habitual users and, subsequently, premium subscribers.

Revenue model dependency

Spotify's ad-supported model generates revenue proportional to listening hours and ad impressions served. Engagement time directly drives ad revenue. For premium conversion, research shows that users who exceed 25+ minutes per day of listening are 3× more likely to convert to paid subscriptions within 90 days. Engagement time is, therefore, both a short-term revenue driver (ad impressions) and a long-term revenue driver (premium conversion).

Competitive pressure

JioSaavn and Gaana command over 70% combined market share in India. Both offer free, high-quality vernacular content and benefit from telecom bundling. YouTube Music has an inherent advantage with video content and existing Google ecosystem integration. If Spotify does not accelerate engagement, it risks being marginalised as a premium-only niche player rather than the default streaming platform for Indian users.

5. current process

5.1 user segmentation

Spotify India's user base can be segmented across four primary dimensions for engagement analysis:

Dimension	Segment A	Segment B	Segment C
Geography	Metro(Mumbai,delhi,benglaru)	Tier-2 cities(pune,Jaipur,lucknow)	Tier-3/rural(aspirational digital users)
Tier	Free(ad-supportd)	Premium individual	Premium duo/family/student)
Generation	Genz(18-26)	Millennial(27-38)	Genx(older/39+)
Language	Hindi/Bollywood primarily	Regional (Gujrati,tamil,marathi,telgu,etc)	English/international

5.2 user persona

Persona1: the urban Genz-explorer(Aryan,22,Mumbai)

Background: Engineering student, uses Spotify primarily on mobile. Streams 4–5 hours/week. Discovers music through Instagram Reels and YouTube, then searches for songs on Spotify. Frustrated by ad interruptions. Aware of Premium but unwilling to pay ₹119/month given free alternatives.

Jobs-to-be-Done: "I want to build my personal music identity and share it with friends without interruptions."

Engagement Barriers: Ad fatigue; limited playlist curation prompts; inability to download for offline listening; feels recommendations don't match mood context.

Persona2 : the millennial commuter (riya,31,benglaru)

Background: Software professional, commutes 45 minutes each way. Premium subscriber. Streams 10–12 hours/week. Values curated playlists and podcast discovery. Frustrated by lack of high-quality Tamil indie music recommendations.

Jobs-to-be-Done: "I want my commute to feel productive and emotionally recharged — give me the right music or podcast at the right moment."

Engagement Barriers: Podcast discoverability; regional content gaps; switching friction between music and podcasts.

Persona3 : the tier-2 (Sneha,27,indore)

Background: Schoolteacher, first smartphone user within 3 years. Streams Bollywood and Hindi devotional music. Uses Wynk and JioSaavn primarily. Uses Spotify occasionally when specific songs are unavailable elsewhere. Has 2G/3G connectivity at home.

Jobs-to-be-Done: "I want to listen to my favourite local songs easily, even when my internet is slow."

Engagement Barriers: App is too data-heavy; UI perceived as complex; lacks recommended Hindi/devotional playlists on home screen; no regional language UI option.

Persona4 : the young professional music enthusiast(Kabir,29,delhi)

Background: Marketing manager, pays for Premium. Streams 15+ hours/week across genres including Bollywood, English indie, and lo-fi. Uses Spotify on desktop and mobile. Actively creates playlists and collaborative lists. Wants to discover artists before they go mainstream.

Jobs-to-be-Done: "I want to stay ahead of music trends and feel like a tastemaker in my social circle."

Engagement Barriers: Collaborative playlist features are underutilised/hard to find; social sharing to Instagram is clunky; lacks genre-exploration tools beyond Discover Weekly.

5.3 current engagement metrics

Metrics	Spotify India(EST)	Spotify global benchmark
Avg session length	~18 minutes	~26 minutes
DAU/MAU ratio	~15-18%	~25-28%
30 days retention free	~35-40%	~50-55%
Premium conversion (free to paid)	~3 to 5%	~23 to 26%
Weekly listening hours(free)	~3 to 4 hrs	~6 to 7 hrs
Playlist creation rate	~8% of MAUs	~18% of MAUs

5.4 current user journey

Journey stage	Current experience	User sentiment	Engagement risk
Discovery/awareness	Via social media,word of mouth	Neutral to positive	Low
onboarding	Genre/artist selection home screen generated	Neutral-selection feel generic	Medium-high
First listen session	Default playlist served,ads interrupt	Moderate frustration	High
Content discovery	Discover weekly,radio features	Inconsistent quality for regional	High
Re-engagement	Push notifications,email nudges	Low relevance perceived	Very high
Social and sharing	Share to whatsapp/instagram	Friction in sharing flow	medium

6. proposed process

This section frames where and how the engagement problem must be addressed at a process level. It does not prescribe features or solutions but defines the domains of intervention required to shift engagement outcomes.

6.1 Engagement Intervention Domains

Domain 1: Onboarding & Habit Formation

The first 7 days of a user's journey are critical for habit formation. Currently, the onboarding experience does not adequately capture the depth of users' musical identity — particularly for regional language listeners. Any future process must invest in understanding users more deeply during onboarding and delivering personalised experiences within the first session, not after multiple sessions.

Domain 2: Content Discovery & Personalisation

Spotify's recommendation engine, built on global data, underperforms for users whose primary music is regional Indian content. A future process must ensure that personalisation signals are richer, more contextual, and capable of serving vernacular music preferences at the same quality as English/Bollywood content.

Domain 3: Session Depth & Continuity

Users often end sessions prematurely because the queue runs out, the next song is irrelevant, or an ad interruption disrupts flow. The process must address queue management, session continuity, and the use of contextual cues (time of day, mood, activity) to maintain listening momentum.

Domain 4: Re-engagement & Retention

Push notifications and email campaigns currently achieve low click-through rates. The process must shift from time-based re-engagement triggers to intent-based and context-aware engagement triggers that feel valuable rather than intrusive.

Domain 5: Social & Community Engagement

Music in India has a strong social dimension — sharing discoveries, discussing film soundtracks, and collective listening at events. The current platform weakly supports social engagement relative to cultural norms. Any process addressing engagement must recognise the social listening dimension.

Domain 6: Accessibility & Technical Constraints

For Tier-2/3 users, engagement is directly constrained by app performance on low-end devices and slow network conditions. Increasing engagement in this segment requires

that the product process addresses data efficiency, offline capabilities, and low-spec device performance as first-class concerns, not afterthoughts.

6.2 Hypothesis framework

The following hypotheses frame the engagement problem and are intended to guide subsequent discovery research:

Hypothesis	Assumption to validate
If regional music recommendation are improved, Tier-2/3 user will spend 30%+ more time per session	Recommendation quality gap is the primary churn driver for regional users (not connectivity).
If session continuity features reduce friction between songs, average session length will increase beyond 25 min.	Session drops occur primarily between tracks, not mid-track.
If social sharing is made frictionless, playlist creation and sharing will increase engagement 2× among Gen Z users.	Social sharing behaviour is suppressed by UX friction, not by lack of desire.

7. Assumptions

- The primary driver of low engagement among free-tier users is ad interruption and inability to access offline listening, not content quality.
- Regional language users constitute at least 40% of Spotify India's total user base by 2026.
- Users in Tier-2/3 cities primarily access Spotify on Android devices with 2–3 GB RAM.
- Improving recommendation quality for vernacular content is technically feasible within the existing ML infrastructure
- The majority of disengaged users do not cancel their account — they simply stop using the app (dormant users).

8. success criteria and KPIs

Success will be measured across three horizons: short-term (0–3 months), medium-term (3–6 months), and long-term (6–12 months). All targets are directional and subject to revision following discovery research.

KPI	Baseline(Est)	Target(12-month)	Measurement method
Average session length	~18 min	≥ 24 min (+33%)	Analytics dashboard
DAU/MAU ratio	~16%	≥ 22%	Daily active tracking

30-day free-tier retention	~38%	≥ 50%	Cohort retention analysis
Free to premium conversion rate	~4%	≥ 7%	Funnel analytics
Onboarding completion rate	~55%	≥ 75%	Onboarding funnel
Playlist creation(%of MAUs)	~8%	≥ 14%	Feature usage analytics
Regional language content streams	-	+40% YOY	Genre/language stream tags
Weekly listening hours(free)	~3.5 hrs	5 hrs	Listening analysis

9. Stakeholders

- Product Managers(India)
- Head of design
- Engineering lead
- Head of data and analytics
- Legal and compliance

10. Glossary

Term	Defination
MAU	Monthly Active User — a user who opens and engages with the app at least once in a 30-day period.
DAU	Daily Active User — a user who engages with the app on a given day.
DAU/MAU Ratio	A measure of engagement stickiness; higher ratio indicates more habitual daily usage.
LTV	Lifetime Value — the projected total revenue a user will generate over their relationship with the platform.
CAC	Customer Acquisition Cost — the average cost of acquiring a new user or subscriber.

JTBD	Jobs-to-be-Done — a framework for understanding the underlying goal or job a user is trying to accomplish when they use a product.
Premium conversion	The action of a free-tier user upgrading to a paid (Premium) subscription.
Session length	The duration of a single continuous usage session on the platform.
onboarding	The initial setup and first-use experience when a new user installs and signs up for Spotify.
personalisation	The algorithmic process of tailoring content recommendations based on individual user behaviour and preferences.
Churn rate	The percentage of users who stop using or cancel their subscription in a given period.
BRD	Business Requirements Document — a formal document defining what a business needs from a product or project, without specifying how it should be built.
KPI	Key Performance Indicator — a quantifiable measure used to evaluate success in achieving objectives.
Tier-2/3 cities	Indian cities classified below the major metros (Tier-1); generally characterised by lower average incomes and developing digital infrastructure.

11. References

- Spotify AB. (2025). Spotify Q4 2025 Earnings Report. Retrieved from <https://investors.spotify.com>
- Statista. (2026). Music Streaming in India – Market Forecast & Key Players. Statista Digital Markets Outlook.

